

第十四届北京大学光华管理学院案例大赛 初赛案例分析报告

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智领全球，鹏行万里——小鹏汽车五年海外韧性战略

案例介绍

一、选题原因

首先，小鹏智能技术研发为导向，它是中国造车新势力中“技术驱动”的典型代表。其在 800V 高压碳化硅平台、底层电子电气架构以及 XNGP 高阶智能辅助驾驶领域，相比于绝大多数海外传统车企具有领先优势。对于研究中国智造如何从“产品输出”转向“技术输出”具有独特的分析价值。其次，小鹏当前的出海成果说明其已具备标杆性案例的规模与完整性。截至 2025 年末，小鹏海外业务已覆盖全球 60 个国家和地区，在欧洲、亚太、中东非三大核心市场完成了从渠道、制造到研发的体系化布局，全年海外交付量稳居中国造车新势力纯电出海首位。然后，全球新能源汽车市场正经历深刻的结构性变革，为小鹏汽车提供发展机遇。欧洲渗透率已突破 50% 却筑起高额关税壁垒，东盟市场处于扩张期但基础弱，中东蓝海市场增速惊人却伴随极端环境适配难题。小鹏身处这一复杂多变的宏观环境中，其应对政策壁垒、合规高压与地缘风险的实践，为研究中国制造业企业在逆全球化背景下的生存之道提供了极具时效性的研究切口。最后，小鹏出海过程中暴露的结构性危机具有普遍的警示意义。其品牌弱势、销量集中、海外低产出的问题以及面临的贸易政策、合规 ESG、财务资本、品牌信任四大环环相扣的风险，最终使其陷入“高端市场竞争力不足、中低端市场难以固守”的增长困局。这是中国高端制造品牌全球化进程中面临的共性问题，深入剖析其症结与破局路径，对于正在或准备出海的中国企业具有重要的参考价值

二、内容摘要

首先，小鹏出海具有必然性。在国内市场，新能源渗透率已突破 57%，价格战白热化；海外市场则呈现截然不同的图景——欧洲与中东市场消费力强劲，产品溢价可达 30%-60%，成为车企回血造血的“第二曲线”。对技术驱动、研发投入高企的小鹏而

言，出海是打破“高研发-低毛利”死局的唯一解。

其次，小鹏出海布局已然较为成熟，做大做强成为目标。在欧洲、亚太、中东非三大核心市场，小鹏分别采取“全体系深耕”“全产业链布局”“轻资产试水”的差异化运营模式，业务已覆盖 60 个国家和地区，海外交付量稳居新势力纯电出海首位。

然而，小鹏出海依旧面临四大结构性危机。贸易政策层面，欧盟 30.7%的反补贴税制约其价格优势，原产地规则收紧让代工模式陷入两难；合规 ESG 层面，数据本地化要求与 XNGP 智驾迭代逻辑形成冲突，严苛的认证体系消解了其“快速迭代”的核心竞争力；财务资本层面，海外营收贡献不足 10%却占用超 25%的研发与资本开支，形成对国内基本盘的持续抽血；品牌信任层面，品牌战略与海外市场需求严重错位，导致陷入“高端上不去、低价守不住”的增长困局。

最后，制定针对性的破局战略通过财务模拟验证其可行性。针对三大市场差异，报告制定了差异化五年战略：欧洲市场以“智能差异化破局、合规经营筑底”为核心；亚太市场聚焦右舵车赛道，以本土化供应链和渐进式渠道深耕实现增长；中东非市场坚持资产轻量化，以 800V 平台和 EREV 双赛道布局抢占蓝海。通过蒙特卡洛模拟对战略进行 10000 次压力测试，验证了战略的运营韧性与财务底线，为小鹏全球化布局提供了可落地的行动路径。

三、分析逻辑与方法

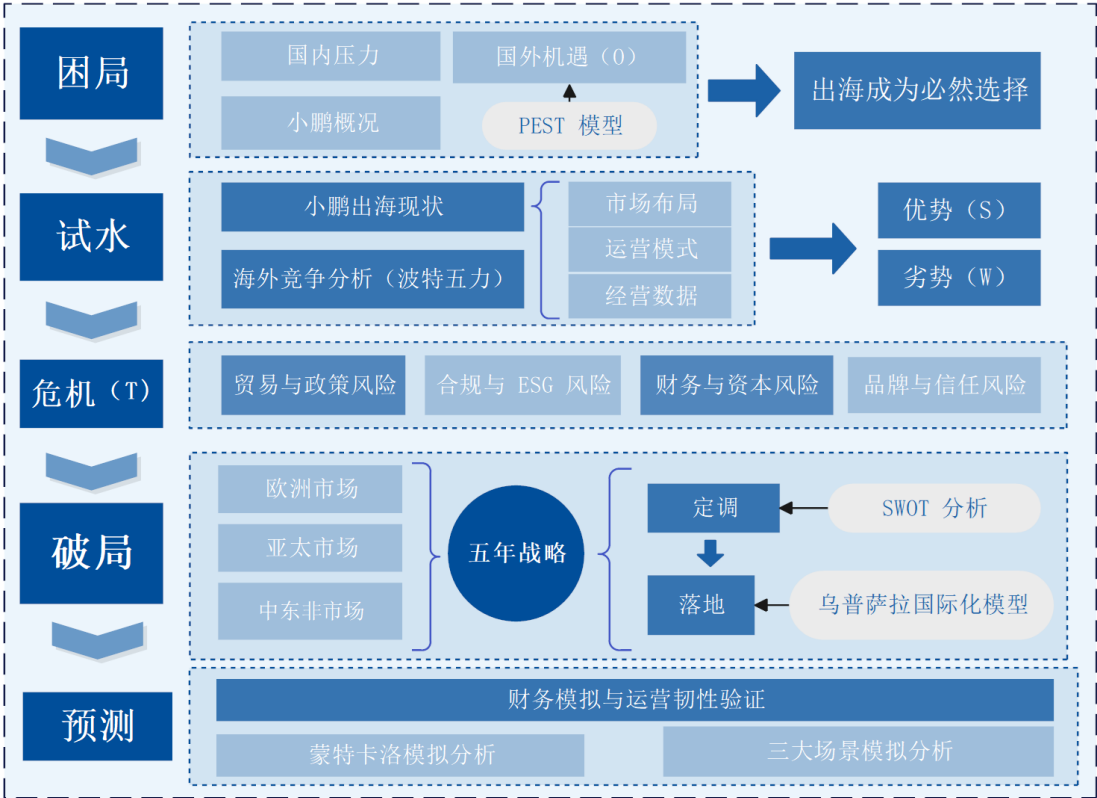


图 1：报告框架结构

如图 1 所示，报告分为“困局研判 - 出海试水 - 风险识别 - 战略破局 - 前景预测”五大部分。展现了在智能电动化技术变革驱动下，小鹏该如何依托自研的技术和敏锐的市场洞察，直面国内行业内卷压力，把握海外市场增长机遇，完成五年出海战略的规划与落地。

观点不偏不倚，叙述有迹可循。我们采用了 PEST 分析模型、波特五力竞争模型、SWOT 战略分析模型、乌普萨拉国际化模型、蒙特卡洛模拟分析工具，从“市场布局 - 运营模式 - 风险管控 - 战略落地 - 财务验证”五个核心环节出发进行战略思考。

四、关键词

小鹏汽车；出海战略；本地化；风险管控；战略韧性

Contents

1.Dilemma: Domestic Pressure, Overseas Expansion Becomes an Inevitable Choice.....	0
1.1 Domestic Environmental Pressure: Intense Competition and Capacity Red Line	1
1.2 Overseas Environmental Opportunities: Analysis Based on the PEST Model	3
1.3 Xpeng's Own Situation: Overseas Expansion as an Inevitable Choice.....	5
2. Testing the Waters – Current Status of Overseas Expansion Model	6
2.1 Overseas Market Layout	6
2.2 Core Overseas Operation Models	8
2.3 Core Business Data	10
2.4 Analysis of Xpeng's Overseas Competition – Based on Porter's Five Forces Model	11
3. Crisis – Structural Risks of the Overseas Expansion Model.....	20
3.1 Trade and Policy Risks.....	20
3.2 Compliance and ESG Risks	22
3.3 Financial and Capital Risks.....	24
3.4 Brand and Trust Risks	25
4. Breaking the Deadlock – Five-Year Strategy.....	27
4.1 European Market.....	27
4.2 Asia-Pacific Market.....	31
4.3 MENA Market	34
5. Forecast – Financial Simulation and Operational Resilience Verification	38
5.1 Dynamic Forecast – Monte Carlo Simulation.....	38
5.2 Scenario Analysis – Three Scenario Simulations.....	40

List of Tables

Table 1:Sales and Growth Situation of China's New Energy Vehicle Market.....	1
Table 2:Penetration Rate of New Energy Vehicles in China in Recent Years (Domestic Retail Sales).....	2
Table 3:The Production and Sales Figures of New Energy Vehicles in China in Recent Years (units: ten thousand vehicles).....	3
Table 4: XPeng Global Core Business Revenue Breakdown (in RMB billion).....	10
Table 5: XPeng Overseas Pricing Analysis	10
Table 6: 2025 XPeng BEV Sales in 27 Overseas Countries.....	11
Table 7: Total Effective Tax Rate	21
Table 8: Allocation Ratio of Capital Expenditure	25
Table 9: European Market Price Band	26
Table 10: The Strategy of European Market	30
Table 11: The Strategy of Asia-Pacific Market	33
Table 12: The Strategy of MENA Market	37
Table 13:Dynamic Forecast of Overseas Operating Profit of XPeng from 2026 to 2030 and Distribution Pattern of Five-Year Cumulative Profit	40
Table 14:XPeng's 5-Year Overseas Operating Profit Forecast and Strategic Hedging Matrix (Unit: RMB 100 Million).....	41

List of Figures

Figure 1:PEST Analysis of the Global Development Environment of New Energy Vehicles ..	5
Figure 1:PEST Analysis of the Global Development Environment of New Energy Vehicles ..	5
Figure 2: XPeng Global Store Layout and Quantity	11
Figure 3:Porter's Five Forces Analysis of the European Market.....	12
Figure 4: Porter's Five Forces Analysis of Asia-Pacific Market.....	14
Figure 5: Porter's Five Forces Analysis of MENA Market.....	17
Figure 6: European Market——Brand Highland & Compliance Touchstone	28
Figure 7: Asia-Pacific Market——Growth Engine & Localization Testbed	32
Figure 8: MENA Market——Blue Ocean Ore & Localization Testing Field.....	35

1.Dilemma: Domestic Pressure, Overseas Expansion Becomes an Inevitable Choice

Is the current overseas expansion by new EV forces an active expansion or a passive struggle for survival? Facing the competitive environment in the domestic market, Xpeng Motors is under unprecedented survival pressure. Going overseas has transformed from an "option" into a "survival threshold" that must be crossed.

1.1 Domestic Environmental Pressure: Intense Competition and Capacity Red Line

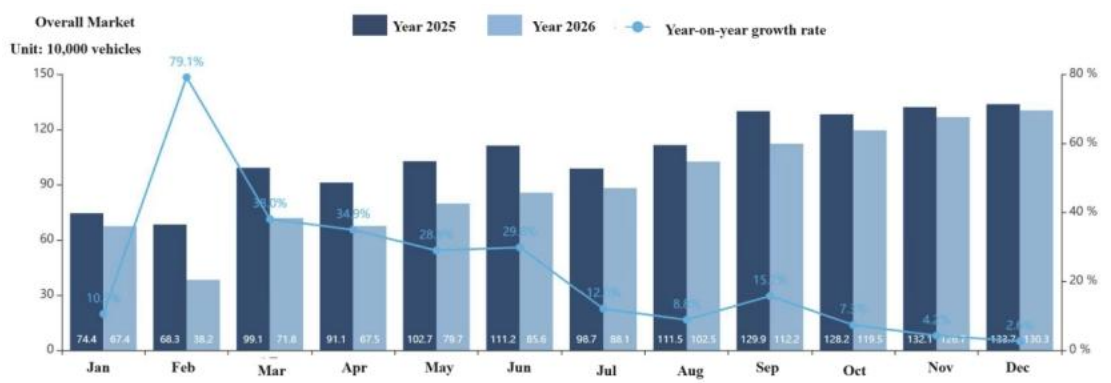


Table 1:Sales and Growth Situation of China's New Energy Vehicle Market

source:China Automobile Dealers Association Passenger Vehicle Market Information Joint Committee

1.1.1 Intense Competition and Intensified Price Wars

In 2025, the penetration rate of new energy passenger vehicles in China reached 57%, historically surpassing traditional fuel vehicles for the first time. This indicates that the incremental dividend in the domestic market is shrinking sharply. To compete for limited market share, major automakers have fallen into a fierce price war, with many "trading price for volume," leading to a sharp decline in overall industry profit margins. They find themselves in a non-benign competitive quagmire where they "lose money on every car sold," pushing market competition from simple price competition towards a comprehensive ecosystem battle.^[1]

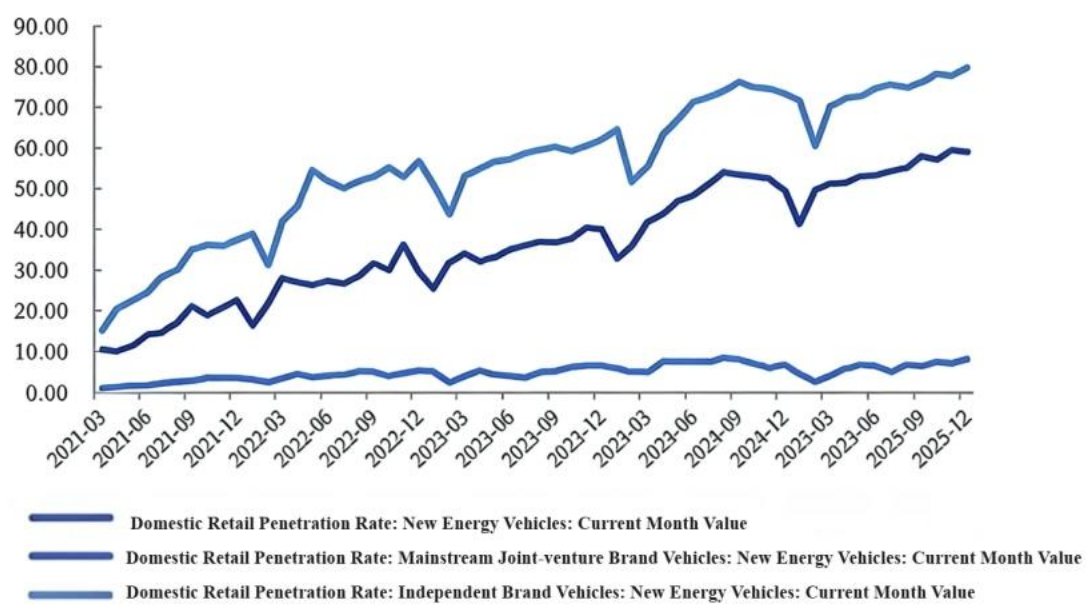


Table 2:Penetration Rate of New Energy Vehicles in China in Recent Years (Domestic Retail Sales)

Source: Passenger Car Market Information Association

1.1.2 Structural Crisis of Overcapacity

As production capacities planned by various automakers in the early stage are being released concurrently, domestic market demand can no longer absorb the massive supply. If they stick to the domestic market, automakers will face high costs from idle capacity and inventory backlogs. Moreover, extreme competition severely compresses the overall industry profit space, highlighting the structural risk of "increasing revenue without increasing profit." How to absorb massive capacity has become an urgent problem for major automakers. Relying solely on the domestic market can no longer support a healthy financial cash flow cycle for automakers.^{[1][3]}

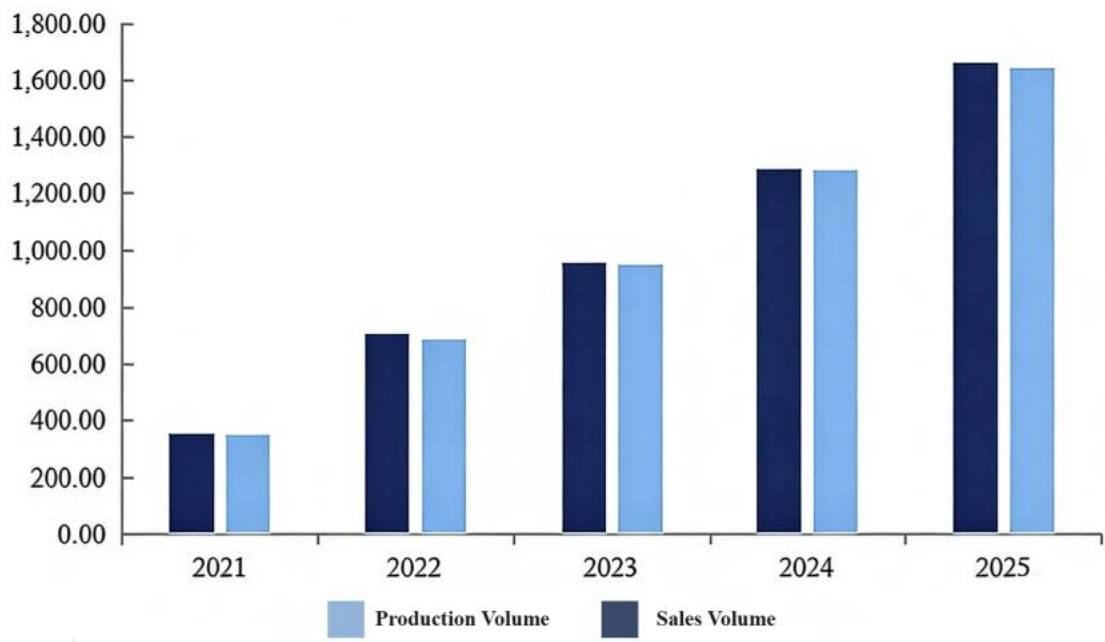


Table 3: The Production and Sales Figures of New Energy Vehicles in China in Recent Years (units: ten thousand vehicles)

source: China Association of Automobile Manufacturers

1.2 Overseas Environmental Opportunities: Analysis Based on the PEST Model

1.2.1 Political Factors: Actively Supportive Policy Environment

Emerging nations in Southeast Asia and the Middle East are vigorously promoting new energy transition subsidies and tax exemptions, providing an excellent policy window for Chinese automakers. For example, Thailand's implemented EV3.5 policy offers high purchase subsidies; many Middle Eastern countries actively attract investment under the "Belt and Road" initiative, providing strong policy support and a foundation of mutual trust for Chinese automakers going overseas. Furthermore, China and the EU have reached a consensus on a price commitment mechanism, replacing punitive tariffs with minimum prices. This signal from a window of certainty in EU-China trade policy eliminates short-term uncertainty and forces the new energy vehicle industry to shift from "price competition" to "value competition."^[2]

1.2.2 Economic Factors: Blue Ocean Outbreak in Emerging Markets

In contrast to domestic overcapacity, overseas emerging markets are on the eve of a penetration rate explosion. Markets in Europe and the Middle East possess high purchasing power. Here, Chinese new energy vehicles can not only avoid domestic price wars but even achieve product premiums of 30%–60%, becoming a "second growth curve" for automakers to generate high profits and replenish cash flow. Taking the GCC as an example, its EV market penetration doubled from 2% to 4% in just one year; notably, the UAE's EV market is expected to grow at a staggering CAGR of 39.4% between 2025 and 2030. These high-net-worth markets can provide Xpeng with profit margins unattainable domestically.

1.2.3 Social Factors: Consumer Consensus on Green Travel and Intelligent Features

The deepening global consensus on carbon reduction has rapidly increased overseas consumers' acceptance of new energy green travel and intelligent experiences, with Internal Combustion Engine (ICE) vehicles accelerating their exit from the historical stage. Surveys show that up to 91% of existing EV owners in the GCC region plan to purchase another EV, a loyalty rate significantly higher than the global average of 87%. Overseas consumers are willing to pay for smarter mobility experiences, which aligns perfectly with Xpeng's brand essence.

1.2.4 Technological Factors: Chinese Automakers' Technological Dividend

Xpeng holds a technological lead of at least half a generation to a full generation over the vast majority of traditional overseas automakers in areas such as the 800V high-voltage silicon carbide platform, underlying electronic and electrical architecture, and XNGP advanced intelligent driving assistance. This "technological dimensionality reduction strike" constitutes Xpeng's absolute confidence in securing high premiums overseas.

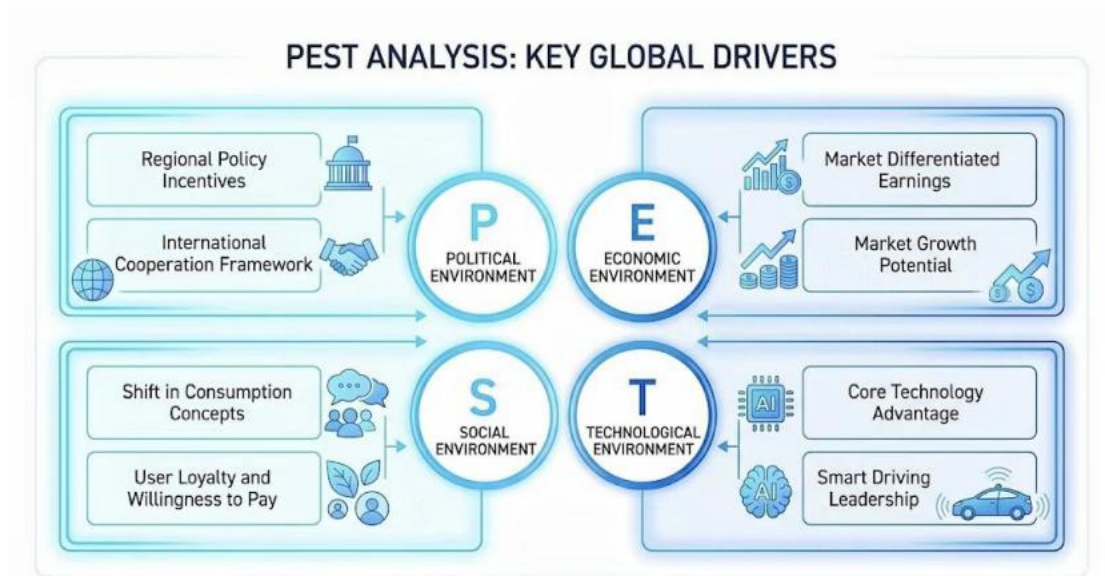


Figure 1:PEST Analysis of the Global Development Environment of New Energy Vehicles

Source:Compiled by Team Members

1.3 Xpeng's Own Situation: Overseas Expansion as an Inevitable Choice

Xpeng Motors adopts a business model heavily reliant on R&D. This "technology-driven" business foundation exposes fatal vulnerabilities in the current single-market environment. Although Xpeng possesses industry-leading XNGP intelligent driving hardware and software architecture, as well as forward-looking "physical AI" technology reserves, and overseas markets urgently need high-quality, intelligent new energy vehicles like Xpeng's to fill gaps in the high-end market, the R&D investment in these intelligent and cutting-edge technologies is extremely high. This results in immense profitability pressure. As a "technology-driven" company, long-term substantial capital expenditures continuously pressure its financial position. Moreover, the risk of single-market dependence rises sharply; the unending price war domestically could overwhelm the cost barriers built by its high R&D spending. Consequently, Xpeng finds itself in a structural dilemma: its substantial upfront technology R&D investment necessitates a sufficiently large global scale to amortize marginal costs. Clinging to the single domestic market makes it impossible to absorb its production capacity, let alone support its high R&D expenses to achieve profitability. Therefore,

for Xpeng, going overseas is not a false proposition of expansion but the only solution to break the deadlock of "high R&D - low margin." Only by going global and earning high premiums overseas can it subsidize domestic R&D investment and emerge victorious in this elimination race.

2. Testing the Waters – Current Status of Overseas Expansion Model

As a new EV player domestically differentiating itself through full-stack self-developed intelligent driving technology, Xpeng Motors began its globalization journey starting from Norway in 2020. After five years of development, Xpeng's overseas business has moved from an exploratory phase into a phase of systematic advancement and scale realization, becoming a significant incremental source for the company's medium-to-long-term sales growth and profit improvement. It has formed a closed loop covering "channels – manufacturing – R&D." By the end of 2025, Xpeng Motors' overseas business had achieved a substantial breakthrough, firmly holding the top position in pure electric vehicle sales among Chinese new EV players overseas.

2.1 Overseas Market Layout

Against the backdrop of a significantly accelerated pace of going overseas, the primary focus of Xpeng's overseas operations remains the systematic deployment of channels and service networks. It has completed its layout in core European markets while simultaneously expanding regionally into Central and Eastern Europe, Southeast Asia, the Middle East, and Africa, gradually forming a path from single-point testing to regional advancement. As of the end of December 2025, it had completed business coverage in 60 countries and regions, forming three core market clusters: Europe, Asia-Pacific, and Middle East & Africa, concurrently establishing a global R&D, manufacturing, and supporting service network.

Europe Market is treated as the strategic highland for the brand and the core main battlefield. Europe is Xpeng's starting point for going overseas and the core

market for its premium brand building. By the end of 2025, Xpeng had entered over 20 European countries, including Norway, Germany, France, the UK, the Netherlands, Sweden, Switzerland, and Austria, achieving full regional coverage across Northern, Western, Central, and Southeastern Europe^[1]. On the R&D front, the Munich R&D Center in Germany was inaugurated in September 2025, serving as its ninth global R&D center, focusing on European user needs and local technology adaptation, synergizing with R&D centers in Silicon Valley and San Diego. On the manufacturing front, localized production began in September 2025 at the Magna Steyr plant in Graz, Austria, marking its first complete vehicle manufacturing base in Europe, initially producing the G6 and G9 models, with plans to cover all vehicle categories like sedans and SUVs. On the channel front, 35 sales outlets were established in Germany, and 10 outlets were set up in Austria by the end of 2025, with plans to expand to 20 outlets by 2026. Through strategic partnerships with European top mobility service providers like Hedin Group and Inchcape Group, it achieved rapid channel deployment and coverage^[1].

Asia-Pacific Market serves as an emerging growth engine. The Asia-Pacific market was Xpeng's fastest-growing overseas segment in 2025, focusing on the ASEAN new energy vehicle blue ocean market and building a localized manufacturing and supply chain system radiating across the Asia-Pacific. By the end of 2025, Xpeng had entered over 10 Asia-Pacific countries, including Thailand, Indonesia, Malaysia, Singapore, Australia, New Zealand, and Cambodia, achieving full coverage of core ASEAN markets^[2]. On the manufacturing front, the first locally produced X9 was officially delivered in Indonesia in July 2025, establishing its first overseas complete vehicle manufacturing base. In December 2025, it signed an agreement with Malaysia's EPMB Group to initiate a localized production project, its third overseas production base, planned for mass production in 2026, aiming to create a strategic hub serving the ASEAN right-hand drive market^[3]. On the channel front, brand stores integrating display, sales, delivery, and after-sales were established in markets like Cambodia and Thailand. In Cambodia, it plans to expand outlets to 4 by 2026, concurrently deploying a localized charging network.^[5]

MENA Market is approached as a high-potential market for strategic deployment. Targeting the high-end new energy vehicle market in the Middle East and Africa, Xpeng has entered countries such as Israel, the UAE, Saudi Arabia, Morocco, Tunisia, and Qatar. Israel became its largest single overseas market in 2025. Meanwhile, through cooperation with local leading dealer groups in the region, Xpeng rapidly achieved channel coverage and brand establishment in core cities, completing product adaptations for the high-temperature environment in the Middle East, forming a differentiated competitive advantage.^[4]

2.2 Core Overseas Operation Models

Xpeng Motors tailors its overseas models to different market characteristics, but the core objective consistently moves towards deploying sales networks, localized manufacturing, and R&D centers, continuously advancing the systematic construction of Xpeng's overseas model.

The European market adopts a **dual-track channel + SKD local production** model for comprehensive system localization. On the product front, SKD semi-knocked down local assembly is the main approach, supplemented by CBU complete vehicle exports. Main models G6, G9, and P7i have obtained EU E-NCAP five-star safety certification and local scenario adaptation. It is the first Chinese automaker to launch city-level XNGP intelligent driving in Europe, simultaneously achieving platform-based technology output through technical cooperation with Volkswagen. On the supply chain front, core self-developed components are centrally procured by the domestic headquarters, relying on the Magna Steyr plant in Austria to advance local European supply chain integration, establishing a dual-capacity collaborative system with the domestic base and European regional hub, effectively circumventing EU tariff barriers. On the channel front, a dual-track model of flagship company-owned stores in core cities and authorized dealers in lower-tier markets is implemented. Company-owned stores maintain the premium brand image, while authorized outlets, partnered with top European distributors, enable rapid, low-cost expansion.

The Asia-Pacific market adopts a **joint venture deep operation + CKD full**

knocked-down local production model for full industry chain localization. On the product front, 100% centers on CKD local production, completing full coverage of right-hand drive versions for main models and adapting for tropical scenarios. Leveraging two local factories in Indonesia and Malaysia for local assembly significantly reduces tariff costs. On the supply chain front, core components are supplied by the domestic headquarters, with dedicated teams promoting local supply chain integration, targeting a local content rate exceeding 60% in core factories within three years, creating dual regional manufacturing hubs: left-hand drive in Indonesia and right-hand drive in Malaysia. On the channel front, a layered model uses joint ventures in core markets and exclusive general agents in emerging markets, establishing joint ventures with local leading enterprises for deep resource binding, while using exclusive general agents for rapid regional coverage in non-core markets.^[6]

The MENA market adopts a **pure asset-light model of CBU complete built-up export + exclusive general agent full-link operation**. On the product front, 100% relies on CBU exports manufactured in China, focusing on high-end models like G9 and X9. It completes adaptations for extreme scenarios like high temperatures and deserts in the Middle East, with no local production investment to avoid geopolitical and heavy-asset risks. On the supply chain front, vehicles and core components are centrally procured and dispatched by the domestic headquarters; only a Dubai regional spare parts warehouse and local pre-positioned parts depots are established to ensure after-sales responsiveness, with no local supply chain setup. On the channel front, an exclusive general agent model is fully implemented, signing exclusive distribution agreements with top dealers in each country. The local general agent is fully responsible for channel development, sales, after-sales, and brand promotion, while Xpeng headquarters only provides products, technology, and standardized support, enabling rapid full regional coverage.^[4]

2.3 Core Business Data

Item	2022 Fiscal Year	2023 Fiscal Year	2024 Fiscal Year
Total Operating IncoT	268.6	306.8	408.7
YoY Growth Rate of Total Operating Income (%)	28.00%	14.20%	33.20%
Overall Gross Margin (%)	11.50%	1.50%	14.30%
Automotive Business Income	237.7	302.3	350.2
YoY Growth Rate of Automotive Business Income (%)	29.40%	27.20%	15.90%
Gross Margin of Automotive Business (%)	5.40%	5.80%	6.20%
Service and Other Business Income	20.2	26.7	50.4
YoY Growth Rate of Service and Other Business Income (%)	113.00%	32.30%	89.00%
Gross Margin of Service and Other Business (%)	36.80%	33.70%	57.20%

Table 4: XPeng Global Core Business Revenue Breakdown (in RMB billion)

Source:XPeng Official Websites

Domestic Model Price (RMB)	Price&Premium	Norway	Germany	France	Denmark	Thailand	Israel	Netherlands	UK
	MSRP	25.5-30.1w	36.0-42.6w	38.7-42.1w	33.2-42.0w	32.0-35.5w	45.1-52.8w	34.7-42.9w	37.8w
G6:176,800-198,800 RMB	Premium vs. Domestic	27.42%	80.14%	93.78%	65.94%	60.02%	125.50%	73.49%	89.01%
	MSRP	32.3-38.4w	49.2-60.0w	49.5-61.0w	55.3-69.7	-	62.7-85.8w	47.9-61.1w	-
G9:248,800-278,800 RMB	Premium vs. Domestic	22.53%	86.53%	87.75%	109.53%	-	137.47%	81.49%	-
	MSRP	30.8-33.5w	41.0-48.4w	-	-	-	47.3-62.0w	-	-
New P7:219,800-301,800 RMB	Premium vs. Domestic	64.84%	119.30%	-	-	-	153.09%	-	-
	MSRP	-	-	-	-	62.0w	-	-	-
X9:300,800-329,800 RMB	Premium vs. Domestic	-	-	-	-	72.38%	-	-	-

Table 5: XPeng Overseas Pricing Analysis

Source:XPeng Official Websites by Country



Table 6: 2025 XPeng BEV Sales in 27 Overseas Countries

Source : Compiled by Team Members

**Figure 2: XPeng Global Store Layout and Quantity**

Source: Compiled by Team Members

2.4 Analysis of Xpeng's Overseas Competition – Based on Porter's Five Forces Model

At a critical juncture where the global new energy vehicle market transitions from incremental expansion to stock competition, Xpeng Motors has completed business deployment in over 60 countries and regions. In 2025, cumulative overseas deliveries exceeded 45,000 vehicles, a year-on-year increase of 96%, firmly securing the top spot in pure electric vehicle sales among Chinese new EV players overseas.

2.4.1 European Market

Europe, as the world's most mature market with the highest new energy vehicle penetration rate, saw the core 14 EU countries achieve a 52.1% penetration rate for pure electric passenger vehicles in 2025. Characterized by strict technical standards, a dense competitive landscape, and sophisticated consumers, Xpeng's competition here presents a situation of differentiated breakthrough under high barriers.

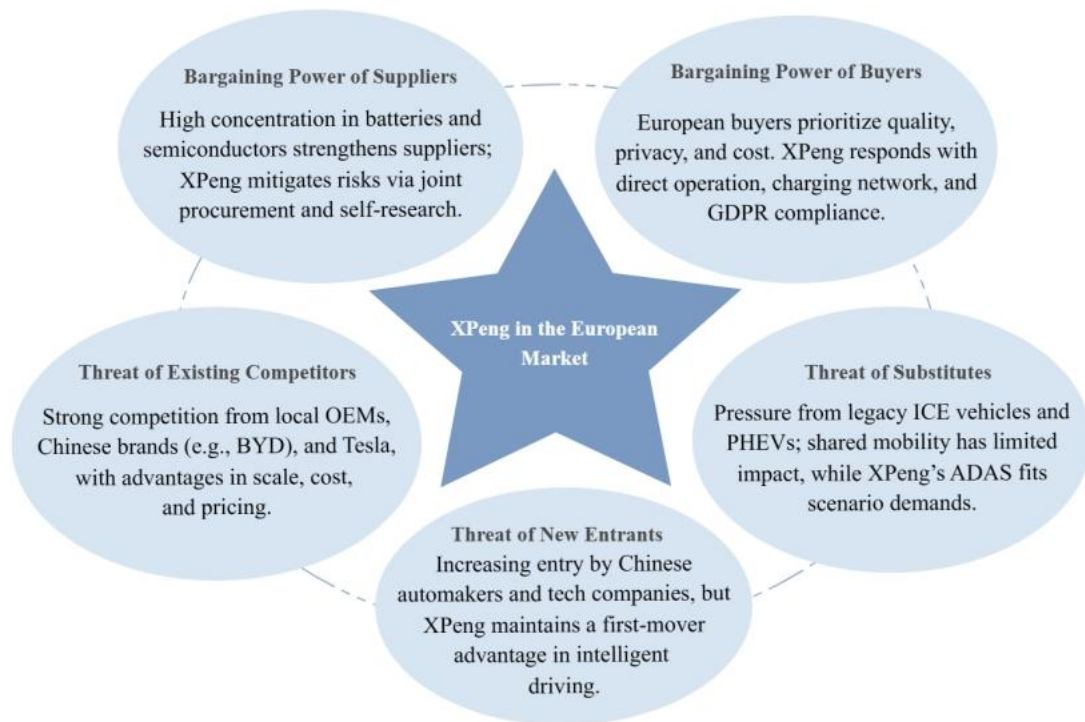


Figure 3: Porter's Five Forces Analysis of the European Market

The threat from existing competitors in the European market is significant for Xpeng, primarily from three camps: First, traditional European automakers like Volkswagen and Skoda. The VW ID series sold 250,500 units in Europe in 2025, holding a 12.4% pure electric market share. Leveraging pan-European channel networks, century-old brand influence, and scale cost advantages, they form a core threat with local barriers, capable of directly squeezing Xpeng's core price range for G6 and G9 through terminal price cuts. Second, leading Chinese overseas brands like BYD and Leapmotor. BYD delivered 86,500 units in Europe in 2025, a scale over five times larger than Xpeng's European market. Relying on cost advantages from full industry chain vertical integration and first-mover channel deployment, they pose a direct threat of homogeneous competition. Leapmotor, with its entry-level models, preemptively targets the market for Xpeng's MONA series. Third, Tesla, which, with European consumers' established perception of intelligent EVs and a high-density Supercharger network, forms a high-end suppressive threat. Its flexible pricing strategy continuously diverts customers from Xpeng's mid-to-high-end market segments.

The threat from new Chinese brand entrants in the European market mainly involves continued investment by Chinese automakers like SAIC and Changan, further

intensifying competition in the mid-to-low-end price range. On the other hand, cross-border layout of smart vehicles by tech companies like Apple and Sony could introduce new competitive dimensions centered on software-defined vehicles. Leveraging its first-mover advantage, Xpeng had established a cumulative delivery base of 32,365 units in the European market by the end of 2025, making it difficult for new entrants to change its first-mover advantage in the intelligent driving niche in the short term.

The threat of substitutes in the European market mainly comes from two aspects: First, the delayed substitution by traditional fuel vehicles, with some consumers in Eastern European markets still preferring fuel vehicles due to insufficient charging infrastructure coverage. Second, transitional competition from PHEVs, which still held a 32% share of the European new energy market in 2025. In addition, although the diversion effect of shared mobility on private car purchases exists in Europe, the intelligent driving technology of XPeng precisely meets the efficiency demands of the shared mobility scenario, thus creating a differentiated and adaptive advantage.

The concentration of core automotive component suppliers in the European market is relatively high. The power battery supplier HHI index reaches 2250, with leading companies like CATL and Panasonic holding core pricing power. The procurement stability and cost of automotive-grade high-end semiconductors face challenges due to global supply chain fluctuations. Xpeng reduces supplier dependence through two main strategies: First, establishing a joint procurement system with the Volkswagen Group to share core component procurement costs and enhance bargaining power. Second, deploying autonomous technologies like the 800V high-voltage SiC platform and full-stack self-developed intelligent driving hardware to reduce technical dependence on specific suppliers. However, it still faces some upward pressure on costs due to fluctuations in battery raw material prices.

European consumers have stringent requirements for product quality, intelligent experience, data privacy, and brand reputation. Online price comparison platforms are highly prevalent, and the price elasticity coefficient for pure electric models reaches -1.8, indicating significantly increased consumer price sensitivity. Buyer decisions

primarily focus on the practicality of intelligent driving, charging network compatibility, and after-sales service responsiveness. Xpeng deal with bargaining pressure through localized operations: establishing direct-sales delivery and service centers in core markets like Norway, Denmark, and Germany; accessing over 2.66 million public charging piles in Europe, with the charging network covering over 95% of populated areas; and, addressing European consumers' core concern for data privacy, completing full GDPR compliance optimization, achieving localized vehicle data storage and closed-loop management.

2.4.2 Asia-Pacific Market

The penetration rate of new energy vehicles in the Asia-Pacific market continues to rise. In 2025, the new energy passenger vehicle penetration rate in six core Southeast Asian countries reached 12.4%, and Australia's penetration rate reached 15.3%. Characterized by significant policy dividends and diversified consumer demand, this market is the core engine for Xpeng's overseas growth.

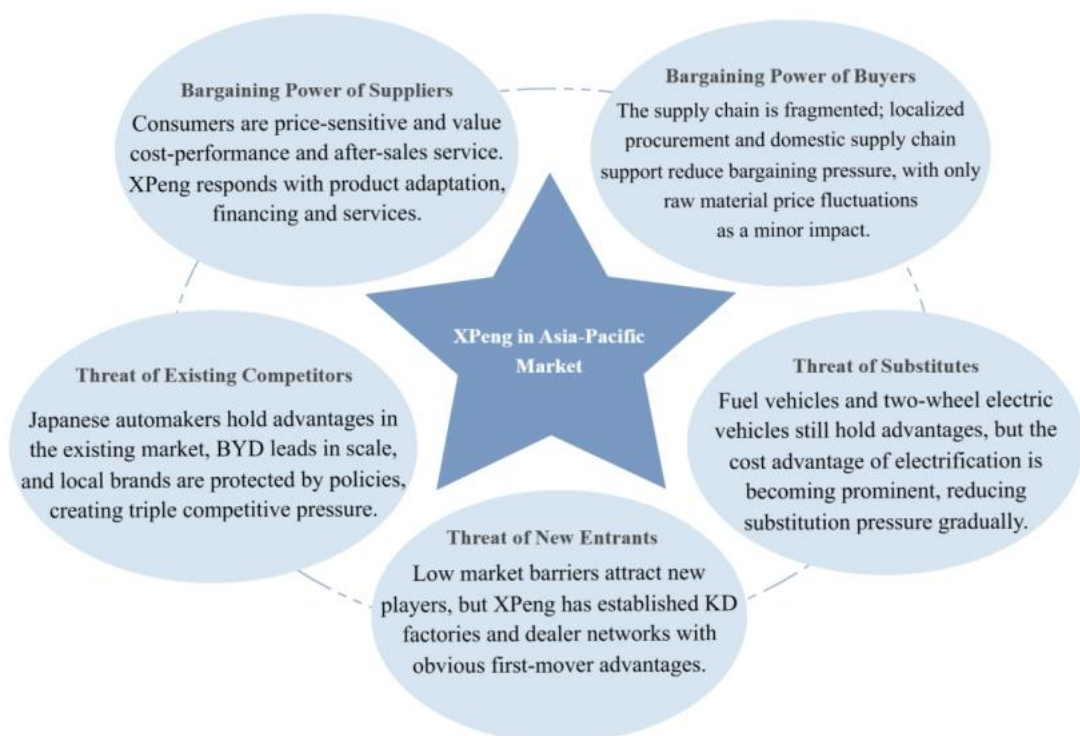


Figure 4: Porter's Five Forces Analysis of Asia-Pacific Market

The threat from existing competitors in the Asia-Pacific market to Xpeng's market

expansion mainly comes from: First, Japanese traditional automakers like Toyota and Nissan still hold a 36% market share in the Southeast Asian passenger vehicle market. Leveraging decades of established distribution channels, user loyalty, and the refueling adaptability advantage of hybrid models, they form a core threat of monopoly in the existing market. Second, leading Chinese overseas brands like BYD. BYD delivered over 120,000 vehicles in Southeast Asia in 2025, a scale over ten times larger than Xpeng's Asia-Pacific market. Relying on earlier localized factory layout, a full price-range product matrix, and distribution channel coverage, they pose a direct threat of scale-overwhelming type. Third, Southeast Asian local brands like Vietnam's VinFast, which, benefiting from domestic policies of various countries for protection, national brand preference, and deep adaptation to local needs, form a policy-protected local threat.

The market entry barriers in the Asia-Pacific market are lower than in Europe, attracting numerous new participants. Local Southeast Asian automakers are transitioning to new energy, leveraging government support policies for rapid layout. However, Xpeng has firstly completed core market layout: the Thai KD factory commenced production in 2025, and the Indonesian KD factory agreement was signed, with local assembly reducing unit costs by 8% and shortening delivery cycles by 35%. Concurrently, it has established dealer network coverage in core markets like Thailand, Malaysia, and Australia, giving it a significant first-mover advantage.

The threat of substitutes in the Asia-Pacific market mainly comes from three aspects: First, traditional fuel vehicles still dominate the market, especially in less developed areas of Southeast Asia, where fuel vehicle repair networks and refueling convenience have absolute advantages. Second, the continued diversion of short-distance travel by two-wheeled EVs. Third, the rapid development of shared mobility exert demand for private car purchases. However, with every country increasing policy support for new energy vehicles, the cost advantage of using pure electric models continues to be prominent. In the Southeast Asian market, the electricity cost per 100km for pure electric models is only one-quarter of that of a fuel car of the same level , progressively reducing the substitute threat. Xpeng's long-range models and 800V fast-

charging technology effectively alleviate core range anxiety among Asia-Pacific consumers.

Supplier resources for automotive components in the Asia-Pacific market are relatively dispersive. The local supply system for core components like power batteries and drive motors is gradually improving, reducing the bargaining power of individual suppliers. Xpeng optimizes its supply chain through two main strategies: First, establishing long-term cooperative relationship with local component suppliers in Thailand and Indonesia, increasing the local procurement ratio to optimize supply chain costs. Second, relying on the mature domestic supply chain, exporting core components for local assembly, further weakening supplier bargaining power. However, it still faces some cost transmission pressure during global price fluctuations of raw materials like lithium and nickel.

Asia-Pacific consumers are highly price-sensitive while also having strong demands for intelligent features, interior space, and ride comfort. Purchase decisions are primarily influenced by cost-performance ratio, after-sales service convenience, and brand reputation. Xpeng has deeply optimized products for regional needs: enhancing vehicle off-road performance and towing capability adaptation in the Australian market; introducing flexible financial schemes with low down payments and long terms in Southeast Asia, partnering with local dealers to build nationwide after-sales networks; and optimizing intelligent cockpit interaction logic and parking assist path planning for right-hand drive markets, significantly improving product adaptability.

2.4.3 MENA Market

The MENA market has a low but rapidly growing penetration rate with significant policy dividends. In 2024, the overall new energy passenger vehicle penetration rate in six core Middle Eastern countries was only 1.5%. In 2025, UAE's new energy vehicle sales saw a year-on-year growth rate of 157%. This represents a new growth pole for Xpeng's overseas layout.

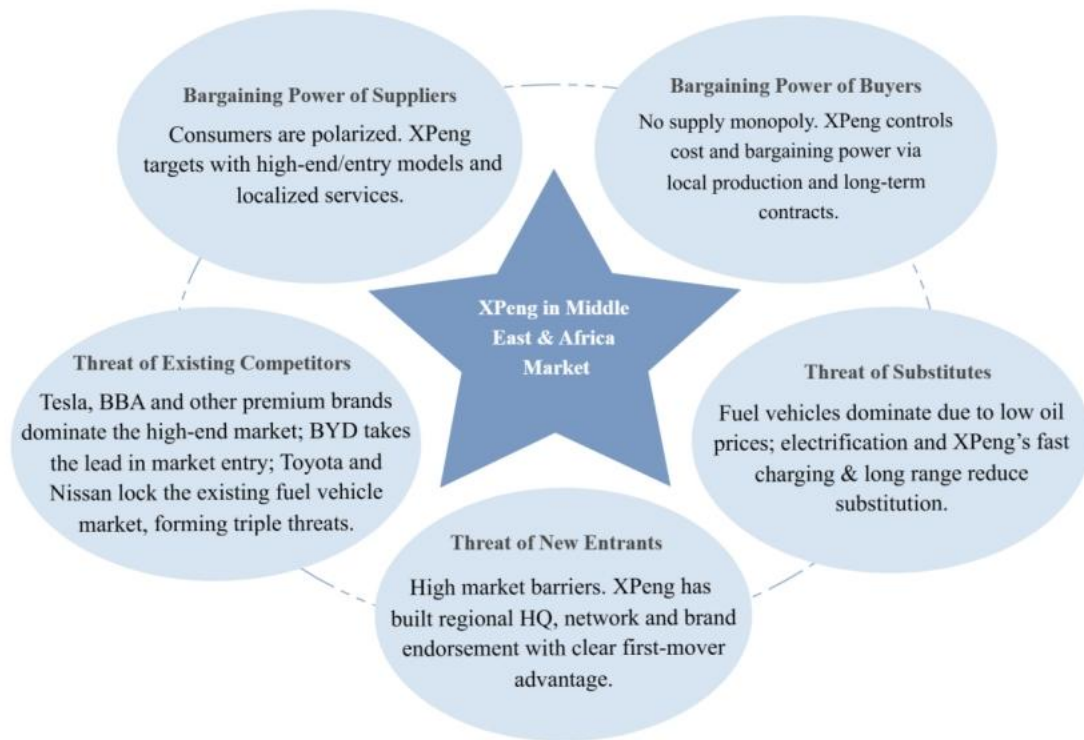


Figure 5: Porter's Five Forces Analysis of MENA Market

The existing competitors in the Middle East and Africa market pose significant threats to the implementation and expansion of Xiaopeng's brand. These threats mainly come from: Firstly, global luxury and intelligent benchmark brands such as Tesla and BBA, with their established brand monopolies, high-end service systems, and comprehensive product layouts targeting the high-end market, forming a monopolistic threat at the high-end level; Secondly, Chinese leading overseas brands such as BYD. BYD sold 12,800 vehicles annually in mature markets like Israel, leveraging its market leadership advantages, full price range product coverage, and comprehensive local support, forming a direct threat based on market leadership position; Thirdly, traditional fuel vehicle giants such as Toyota and Nissan, still holding a 36% market share in the Middle East passenger vehicle market. They leverage the cost advantages of low oil prices, reliability reputations in extreme environments, and full regional channel coverage to form a threat based on the lock-in of the existing market.

Entry barriers in the MENA market include: First, high requirements for vehicle localization adaptation to extreme environments. Second, high uncertainty regarding

every country tariffs and import policies. Third, a long brand perception building cycle in the high-end market. Xpeng has firstly completed deep layout in core markets: establishing a MENA regional headquarters in the UAE and a dedicated spare parts warehouse; entering the Dubai Police patrol fleet through official tenders, providing strong brand endorsement; and signing an exclusive cooperation agreement with Ali & Sons Group, a major UAE automotive conglomerate, to build a sales and after-sales network covering the Gulf countries. Its first-mover advantage is significant, and the localized operation system will be difficult for new entrants to replicate in the short term.

The threat of substitutes in the MENA market mainly comes from traditional fuel vehicles. Oil prices in the region remain low for extended periods, giving fuel vehicles a significant cost advantage. Moreover, repair networks and gas station coverage are far superior to charging infrastructure, making them the preferred choice for car buyers. However, as every country pursue carbon neutrality policies and accelerate charging infrastructure construction, the fuel vehicle substitution process will continue to accelerate. Xpeng's 800V fast-charging technology and long-range product matrix are gradually changing local consumers' perceptions of electric vehicles, continuously reducing the substitute threat.

The supply of automotive components in the MENA market primarily relies on imports. Supplier bargaining power is influenced by factors like international logistics and import tariffs, but the overall market scale has not yet formed a monopoly supply pattern, and the bargaining power of head suppliers is weaker than in European and Chinese markets. Xpeng reduces supply chain dependence through localized KD factory layout, while simultaneously signing long-term price-locking agreements with core domestic suppliers to ensure stable component supply and cost control, effectively managing supplier bargaining power.

MENA consumers exhibit polarized characteristics: On one hand, the proportion of high-end consumers in Gulf countries is high, with extremely high demands for intelligent technology, brand image, and exclusive services. On the other hand, consumers in less developed areas of Africa and the Middle East are highly price-

sensitive, with strict requirements for vehicle reliability and repair convenience. Xpeng hierarchically adapt to regional needs: targeting the high-end market with G9 and X9 models, equipped with the full-stack self-developed AI Tianji System supporting Arabic full-scene voice interaction, catering to local consumer preferences for intelligent features; targeting the entry-level market with the MONA series, priced 80,000 RMB lower than the Tesla Model 3, offering significant cost-performance advantages; and through localized service teams, reducing after-sales response time to within 24 hours, significantly enhancing buyer satisfaction.

2.4.4 Summary

Xpeng's advantages in going overseas lie in technological differentiation, a solid globalization foundation, and relatively strong localization capabilities: Full-stack self-developed intelligent driving technology and the 800V high-voltage SiC platform form core barriers, adaptable to overseas road rules and alleviating range anxiety, differentiating it from traditional automakers and competitors in the same track. It has currently layout over 60 countries and regions, with cumulative overseas deliveries exceeding 45,000 units in 2025, a year-on-year increase of 96%, ranking first in pure electric vehicle sales among Chinese new EV players overseas. Deployment in three core markets (Europe, Asia-Pacific, MENA) is complete. Concurrently, through overseas R&D centers and factories, it achieves cost reduction and cycle shortening, establishes local sales and after-sales networks, completes product optimizations like data compliance and right-hand drive adaptation, and add a layered product matrix to adapt to different market needs.

Xpeng's disadvantages are reflected in the market scale gap, weak brand and channels, and insufficient product and supply chain competitiveness: 2025 sales in Europe and Southeast Asia were only 1/5 and 1/10 of BYD's, respectively, with a significant gap compared to overseas head automakers. Insufficient scale effects lead to weak cost control, being passive in terminal price competition, compressing profit margins. Low overseas brand awareness makes it difficult to breakthrough market barriers of local automobile manufacturers, Tesla, and luxury brands. Limited channel

coverage and improve after-sales networks result in high user education costs, impacting purchase decisions. Furthermore, the product matrix is relatively narrow, with gaps in dispersed price ranges; the entry-level market is preempted, and the high-end market is difficult to penetrate. Core components depend external suppliers, with weak supply chain integration capabilities, significantly affected by raw material fluctuations, weakening long-term competitive resilience.

3. Crisis – Structural Risks of the Overseas Expansion Model

The core risks of Xpeng's overseas model are four interrelated and cascading structural crises: Trade & Policy determine market access thresholds, Compliance & ESG determine long-term operational eligibility, Finance & Capital determine expansion sustainability, and Brand & Trust determine growth ceilings. These four types of risks are interlinked. If they outbreak concentratedly, they could not only interrupt the globalization process but also damage the domestic foundation, shaking the very core of the enterprise's development.

3.1 Trade and Policy Risks

Trade and policy barriers are the primary threshold constraints Xpeng faces in its overseas expansion. The triple constraints of the EU's countervailing duties, tightening global rules of origin, and geopolitical fluctuations have systematically diluted Xpeng's core price advantage, trapping its "tariff-avoidance expansion model" – which relies on SKD/CKD contract manufacturing – in a policy dilemma that offers only short-term respite but no long-term solution.

High countervailing duties have directly erased Xpeng's core price advantage in the European market. In October 2024, the EU officially implemented countervailing duties on Chinese electric vehicles, resulting in a comprehensive tax rate of 30.7% for Xpeng. This rate is the second highest among mainstream Chinese automakers, lower only than SAIC's 35.3%, and significantly higher than BYD's 27.0% and Geely's 28.8%. Taking the domestically priced Xpeng G9 at 300,000 RMB as an example: after the comprehensive duty was applied, its compliant starting price in

Europe climbed from 390,000 RMB to 455,000 RMB. This substantially narrowed the price gap with the Tesla Model Y and Volkswagen ID.7, almost completely erasing the cost-performance advantage it originally relied on to break into the market. Even if Xpeng shifts to SKD semi-knocked down local assembly at the Magna Steyr plant in Austria, it can only avoid the complete vehicle tariff; costs will still be elevated due to component imports and assembly fees, continuously weakening its cost advantage.

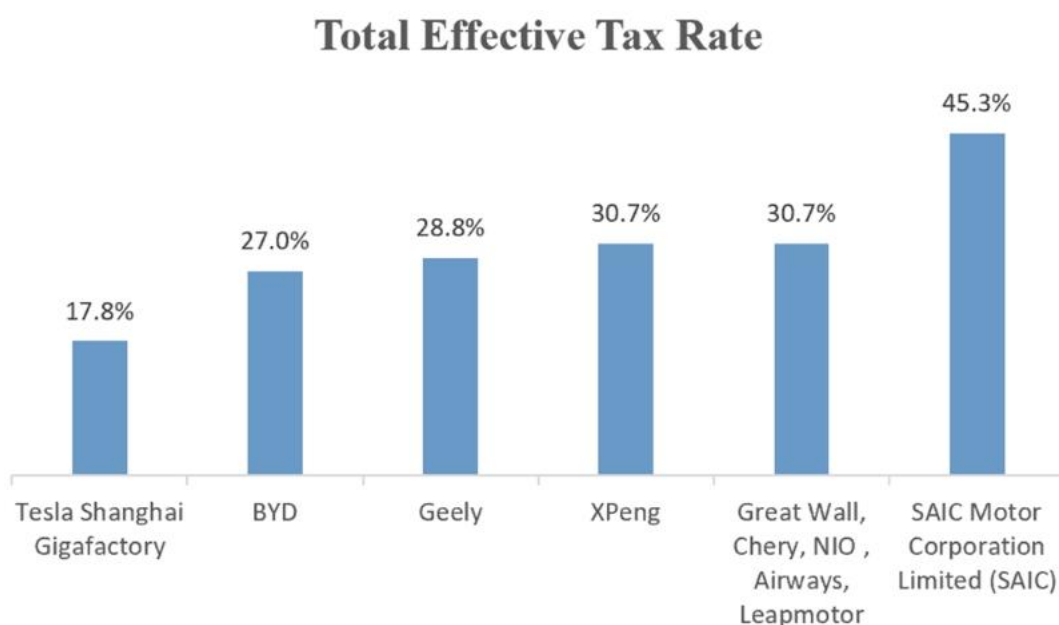


Table 7: Total Effective Tax Rate

Source: Compiled by Team Members

Tightening global local content rules trap Xpeng's OEM model in a strategic dilemma. According to the EU's TCA rules of origin, from 2027 onwards, electric vehicles entering the EU market must achieve an RVC of 55%, with the highest local content requirement for battery-related components reaching 65%. Vehicles failing to meet these standards will be subject to a 10% tariff. In North America, the IRA Act determines tax credit eligibility based on the localization ratio of critical minerals and components. Major ASEAN markets directly link localized production requirements with tariff reductions and exemptions. By the end of 2025, all three of Xpeng's overseas production projects in Europe and Southeast Asia had adopted contract manufacturing

or joint venture models, with no wholly-owned factories. Its European Magna plant's localization level falls far short of the EU's 2027 compliance requirements. Xpeng faces a dilemma: either make additional investments to build its own factories, which would increase capital expenditure and extend the profit cycle; or continue bearing high tariffs, gradually losing price competitiveness in mainstream markets.

The ripple effect of trade barriers combined with fragile sales structure exacerbates geopolitical access risks. In 2025, Xpeng expanded its overseas business coverage to 60 countries and regions, entering nearly 30 new markets within the year. However, its core sales remain heavily dependent on niche markets. Of the 45,000 overseas deliveries throughout the year, Israel and Norway alone contributed over 23% of sales, while core European markets such as Germany and France recorded annual sales of merely 2,000-3,000 units per country, demonstrating a severe lack of economies of scale. This pattern of "failing to gain a firm foothold in core markets while relying on niche markets to sustain the foundation" makes overall performance vulnerable to policy changes in any single market. Moreover, the demonstrative effect of the EU's anti-subsidy investigation has already begun to manifest. Several emerging markets, including Turkey, Brazil, and Mexico, have launched anti-dumping and countervailing duty investigations against Chinese electric vehicles. Should a chain reaction of global trade barriers form, Xpeng could evolve from facing obstacles solely in Europe to experiencing a comprehensive narrowing of global market access, fundamentally undermining the underlying logic of its globalization strategy.

3.2 Compliance and ESG Risks

Compliance and ESG risks represent a veto-powered red line for Xpeng's overseas expansion. The stringent regulatory systems in overseas markets, centered around data security, full lifecycle ESG, and product compliance, are in sharp conflict with Xpeng's development model of "rapid technological iteration, globally dispersed supply chains, and asset-light operations." The pace of its compliance system construction consistently lags behind the speed of market expansion, meaning latent risks could at any moment transform into a substantive market access crisis.^[7]

Data localization requirements create an irreconcilable conflict with Xpeng's core intelligent driving advantage. Europe's GDPR regulations explicitly mandate that vehicle driving data, high-precision map data, and user personal data must be stored, processed, and deleted locally. Non-compliant companies can face fines of up to 4% of their global annual turnover. However, Xpeng's fully self-developed XNGP system relies heavily on collaborative training using diverse global scenario data for its iterative optimization, creating a direct contradiction with localization requirements. As of early 2026, Xpeng's core XNGP city navigation function remains entirely unavailable in the European market due to high-precision mapping restrictions and data compliance requirements. Only basic highway assisted driving functions are available, severely limiting its technological advantage. Although Xpeng's operations cover 60 countries and regions, data localization transformations in most markets remain incomplete, resulting in high compliance risks.

ESG full-chain regulatory requirements expose compliance shortcomings in Xpeng's supply chain and labor management. Although Xpeng has been awarded the MSCI ESG AAA global highest rating for three consecutive years, by the end of 2025, only 5% of its tier-one suppliers had completed sustainable development iteration audits. Environmental standards and labor rights protection across its overseas supply chain remain subject to unified control. The EU's CSRD explicitly requires companies operating in Europe to assume joint responsibility for ESG compliance across the entire value chain, meaning violations by upstream suppliers could directly result in penalties and market exclusion for Xpeng. Simultaneously, the EU's introduced Battery Regulation and CBAM demand transparency regarding the carbon footprint of the entire industrial chain. Under Xpeng's asset-light contract manufacturing model, responsibility for tracing the carbon footprint of the battery supply chain and manufacturing processes is ambiguously defined, preventing full-chain carbon data control. This not only exposes the company to compliance penalties but also renders it unable to align with Europe's mainstream low-carbon consumer demand. Furthermore, carbon emissions generated by its supply chain and vehicle usage phase account for over 90% of total emissions, yet the company has not yet defined specific absolute

emission reduction targets, creating a significant gap with the EU's long-term carbon neutrality regulatory requirements.^[8]

Overseas strict certification systems directly undermine Xpeng's core competitiveness in rapid iteration. European whole vehicle type approval, crash safety standards, and functional safety ISO 26262 certification rules are extremely stringent. Annual model facelifts, hardware configuration iterations, and major OTA software upgrades all require completing the full certification process anew, with a single certification cycle lasting 6-12 months and costs exceeding tens of millions of RMB. However, Xpeng's core advantage in the domestic market is precisely its "small steps, fast iteration" product rhythm: launching 2-3 model facelifts annually, monthly OTA updates, quarterly major version iterations, and dozens of functional upgrades throughout the year. This model faces a dilemma in the European market: maintaining the iteration rhythm requires bearing high certification costs (approximately 5-8 million RMB per model for full compliance) and lengthy cycles (6-12 months); slowing down iterations means losing technological leadership. As of early 2026, Xpeng has launched relatively new models in Europe, but multiple intelligent upgrade features already available in China cannot be pushed synchronously due to incomplete certification, continuously diluting its competitiveness.

Rigidly high compliance costs combined with insufficient sales volume create a negative cycle of "the more expansion, the more losses." In 2025, Xpeng's overseas sales accounted for only 10% of its total sales, yet it had to bear compliance costs across 60 countries and regions. The compliance cost per vehicle was 5–8 times that of the domestic market, significantly compressing profit margins. Compliance investments are largely rigid expenditures—the broader the layout, the higher the costs, forming a cycle where wider deployment leads to higher costs and greater difficulty in achieving profitability.

3.3 Financial and Capital Risks

Financial risks represent the underlying existential crisis formed by the transmission of the aforementioned core risks, directly impacting the operational

resilience of the company's overseas expansion.

Official data for 2024 shows Xpeng's annual R&D expenses reached 6.457 billion RMB, with an R&D intensity of 15.8%, firmly ranking first among domestic new EV players. Of the 2.428 billion RMB in annual capital expenditures, over 60% was related to R&D investment. However, there is a severe mismatch between this rigid investment and overseas business output. In 2024, Xpeng's overseas revenue contributed less than 10%, yet consumed over 25% of total R&D and capital expenditures, directly causing overseas expansion to continuously drain cash flow from the domestic foundation. On this basis, profit erosion from exchange rate fluctuations and cross-border tax burdens, coupled with rigid cost constraints from overseas contract manufacturing and joint venture models, further amplify profitability pressures and continuously extend the company's path to breaking even.

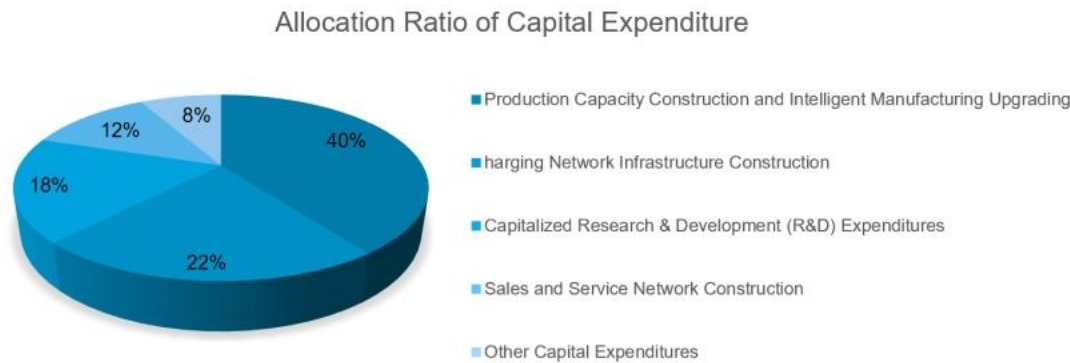


Table 8: Allocation Ratio of Capital Expenditure

Source: XPeng 2024 Financial Report

3.4 Brand and Trust Risks

Brand and trust risks are key constraints on Xpeng's long-term overseas growth. The core issue is a severe misalignment between brand strategy and overseas market demand, leading to a situation where "selling cars is easy, but building the brand is difficult," ultimately trapping the company in a growth dilemma of "failing to break into the high end, yet unable to hold the low end."^[8]

First, there is a fundamental misalignment between brand positioning strategy and overseas market perception, creating underlying obstacles for the

premium narrative. Xpeng has entered overseas markets with the core labels of "intelligent technology and high cost-performance." Its main models, the G6 and G9, are priced in the mid-to-high-end range of €35,000-50,000 in Europe. However, the brand barriers formed over a century in Europe's mature markets, coupled with consumers' entrenched stereotype of Chinese automotive brands being primarily "cost-effective," mean its mid-to-high-end positioning lacks sufficient brand recognition support. European market research indicates that Xpeng's local brand awareness and purchase consideration rates are far lower than those of established local mainstream brands like Tesla and Volkswagen, and also lag behind Chinese overseas peers such as BYD. Its technological advantages cannot be translated into brand premium, and substantial marketing investments struggle to convert into long-term brand loyalty.

European Market PriceBand	Corresponding Mar Positioning	Key Benchmark Models On Sale in Europe(2025)
Below£30,000	Entry-level Commuter Segment (A0/A00 Class)	Renault 5 E-Tech, Dacia Spring, Skoda Elroq
£30,000-£35,000	Basic Mid-range Segment (Entry-level A Class)	Volkswagen ID.3(EntryTrim), Peugeot e-2008, Opel Corsa Electric
£35,000-£50,000	Upper Mid-range to Entry Premium Segment (B Class/ Mid-size SUV,High-end Budget for Family Car Buyers)	Tesla Model Y(Rear-Wheel Drive Version),Volkswagen ID.4 Pro,BMW iX1, BYD ATTO 3(High-end Trim), XPENG G6/ G9
Above£50,000	Luxury Mid-to-high End Segment (C Class/ Mid- to-large Size SUV)	BMW iX3, Mercedes-Benz GLC Electric, Tesla Model Y(Performance Version), Audi Q4 e-tron(High-end Trim)

Table 9: European Market Price Band

Source: Compiled by Team Members

Second, the localized brand marketing strategy suffers from severe inadaptability, and the absence of ESG brand narrative further amplifies this strategic misalignment. Xpeng's marketing logic in the European market is clearly misaligned with local consumers' core demands, which focus on brand heritage, environmental concepts, and driving experience. It has failed to translate its MSCI ESG AAA rating advantage into a core brand narrative. Consequently, brand communication efficiency is low, core values cannot effectively reach target users, and the brand positioning becomes further blurred.

Finally, shortcomings in service support, quality control risks, and two-way market pressure further amplify the failure consequences of the brand strategy.

The lag in service network construction behind channel expansion, coupled with insufficient spare parts and technical service responsiveness, undermines basic consumer trust. Under the contract manufacturing model, Xpeng has limited leverage in quality control. Combined with the cross-regional transmission characteristics of global public opinion, a latent trust crisis exists. Simultaneously, Xpeng faces two-way competitive pressure in overseas markets: from above, global brands like Tesla and BBA guarding the mid-to-high-end market; from below, peers like BYD, leveraging cost advantages from full industry chain integration, which control price initiative. In 2025, its market share in the European pure electric market was less than 0.8%, and in the Southeast Asian pure electric market, it was only 1.2%. This leaves Xpeng unable to unlock profit margins through brand premium or dilute costs through large-scale sales volume, resulting in a clear bottleneck for long-term growth.^[9]

4. Breaking the Deadlock – Five-Year Strategy

4.1 European Market

4.1.1 Strategic Positioning

Based on the preceding systematic analysis of the European market, a comprehensive SWOT analysis was conducted on the European market, thoroughly deconstructing Xpeng's internal capabilities, external industrial environment, as well as its core strengths, weaknesses, opportunities, and risks in the European market. The relevant analysis results are as follows:

Internal External	Strength	Weakness
	1. Intelligent Technology Differentiation & VW Endorsement 2. Localized Production & Supply Chain Layout 3. Local Adaptability of Channel Model	1. Insufficient Brand Awareness & Historical Accumulation 2. Economies of Scale Disadvantage 3. Lagging Culture & Management Integration
Opportunity 1. China-Europe Price Commitment 2. EU Electrification Transformation 3. Ongoing Shortcomings in Intelligent Tech by Local OEMs	SO – Growth Strategy 1. Strengthen “VW Tech Partner” brand communication, seize intelligent cognition highland 2. Accelerate Magna factory localization, increase model introduction speed 3. Leverage dealer network to deeply expand corporate customer market	WO – Turnaround Strategy 1. Establish “XPeng Intelligent Driving Pop-up Experience” national tour, break brand dilemma via tech experience 2. Launch diversified financial schemes, lower customer decision threshold 3. Accelerate local team building, establish “bidirectional integration” management
Threat 1. Dramatic Increase in Joint Liability Risks from EU ESG Regulations 2. Tightening EU Data & Network Security Supervision 3. Rules of Origin Tightening, OEM Model Dilemma	ST – Defensive Strategy 1. Establish European data compliance system, ensure local intelligent driving function rollout 2. Build supply chain ESG penetration management system, prevent joint liability risks 3. Increase localization rate for rules of origin, construct local supply ecosystem	WT – Retrenchment Strategy 1. Focus on Germany & France, suspend investment in high ESG requirement markets (e.g Northern Europe) 2. Replace self-construction with cooperation, avoid heavy asset investment risks 3. Establish European Compliance Center, centrally control multi-country compliance risks

Figure 6: European Market——Brand Highland & Compliance Touchstone

As illustrated in the figure, this report precisely matches four differentiated strategic paths—Growth, Reversal, Defense, and Contraction—ultimately establishing the five-year strategic roadmap for the European market: **focus on the core markets of Germany and France, achieve breakthroughs through intelligent differentiation, build a foundation through compliance operations, and drive growth through localized deep development.**

Specifically:

- The **SO Strategy** focuses on amplifying the dual advantages of intelligent technology and cooperation with Volkswagen, seizing the market window created by Europe's electrification transition and the lag in intelligence among local automakers.
- The **WO Strategy** targets brand and channel shortcomings, lowering user decision-making barriers through technology experiences and financial solutions.
- The **ST Strategy** revolves around the EU's stringent compliance requirements, establishing a full-chain risk control system covering data, supply chain, and rules of origin.
- The **WT Strategy** concentrates on deploying core resources, temporarily postponing expansion into the Nordic markets with high ESG costs, and adopting asset-

light cooperation models to avoid heavy investment risks.

These four paths form a strategic system where offense and defense coordinate, providing clear top-level guidance and defining action boundaries for subsequent implementation.

4.1.2 Implementation

To translate the top-level strategy into executable actions, this report introduces the Uppsala Internationalization Model as its core support. Following the core logic of enterprise internationalization—"gradually accumulating market knowledge, deploying resources in a phased manner, and pursuing risk-controllable expansion"—and integrating the compliance requirements and risk gradients of the European market, it establishes a development rhythm of "core markets first, peripheral expansion later; asset-light trials first, deep cultivation later; experience accumulation first, model replication later." The five-year strategy is broken down into three progressive stages: Exploration & Foundation Building, Scale Accumulation, and Ecosystem Integration. The specific phased implementation arrangements are as follows:

Phase	Year	Strategy Type	Initiative	Implementation Details
Exploration Phase	2026	WT	Focus on core markets in Germany and France, and suspend investment in Nordic markets with high ESG requirements	Concentrate the first batch of European subsidiaries and distribution networks in Munich and Paris. Suspend entry into regions with extremely high ESG requirements but relatively small market capacity such as Norway and Sweden to avoid excessive initial compliance costs.
		ST	Establish a European data compliance system and compliance center	Set up the first data compliance office in Germany or Ireland, recruit local Data Protection Officers (DPOs) to ensure GDPR compliance Suspend some intelligent driving functions involving sensitive data collection and carry out localized algorithm adaptation.
		WO	Launch the "XPeng Intelligent Driving Pop-up Experience" national tour	Hold 1-2 month touring experience events in core business districts of second-tier cities such as Berlin, Hamburg and Lyon, replacing expensive brand advertising with technical experiences.
		ST	Establish a "Special Task Force for Price Commitment" to accurately calculate the MIP for each model	Jointly formed by finance, legal and sales teams; declare the minimum import price and annual export volume cap for each model, and build a cost-profit model to respond to EU penetrating reviews.
		SO	Strengthen the "Volkswagen Technology Partner" positioning and accelerate localized production at the Magna factory	Highlight joint development with Volkswagen in marketing to build an image of "China's technology recognized by Europe". Officially launch models adjusted for the European market at the Magna plant.
	2027	WO	Establish a "two-way integration" management mechanism	Appoint a local European CEO with luxury brand experience; headquarters dispatched staff report to them via dotted line. Establish a "reverse mentor" system, where European employees train Chinese employees on local business etiquette
		SO	Sign "low-investment" cooperation agreements with European dealer groups	Learn from NIO's model, sign cooperation agreements with leading dealer groups in Germany and France, only bearing administrative expenses and small initial marketing costs.
Accumulation Phase	2028	SO	Rely on the dealer network to deeply expand the corporate customer market	Sign cooperation agreements with major European fleet management companies such as LeasePlan and ALD Automotive. Launch long-term rental packages for enterprises to rapidly increase registered vehicle volume through local channels.
		WO	Launch diversified financial solutions	Targeting European users' preference for leasing, launch "XPeng Brand Residual Value Guarantee" financial leasing products with local banks and financial institutions, bringing monthly payments in line with comparable European fuel-powered vehicles.
		ST	Build a supply chain ESG penetration management system	Require core suppliers such as battery manufacturers to provide full supply chain carbon footprint reports. Establish a battery passport system in response to the EU New Battery Regulation.
		SO	Launch wagon models for the European market and initiate R&D on right-hand drive vehicles	Based on market insights from the previous two years, launch wagon models tailored to European family travel habits (e.g. G9 Wagon). Officially start R&D on right-hand drive models to prepare for entry into the UK market.
Integration Phase	2029	ST	Increase the localization rate to comply with the rules of origin	Discuss local assembly or procurement of core components such as battery packs and electric drives in Europe with European Tier 1 suppliers including Magna, ZF and Continental to meet the EU "cumulative rules of origin".
		SO	Establish a European autonomous driving algorithm center	Set up an autonomous driving algorithm center in Munich or Berlin, use European road test data to optimize algorithms, and launch an intelligent driving system "optimized exclusively for European road conditions".
	2030	ST&WT	Replace self-construction with cooperation while leading the software ecosystem	Continue OEM cooperation with Magna for hardware, and connect charging network to IONITY. Deeply cooperate with TomTom and Deutsche Telekom in the smart cockpit ecosystem, forming a model of "Hardware made in Europe, Software powered by XPeng".
		WO	Achieve genuine "two-way management"	Local executives account for more than 70% of the European management team, and export European market product definitions back to headquarters (European versions are jointly defined by Chinese and European teams, with Europe holding veto power).
		SO	Launch entry into the UK market and replicate the experience from Germany and France	Officially enter the UK market based on the R&D achievements of right-hand drive models launched in 2028. Replicate Germany-France experience: focus on core areas of London and the Southeast, cooperate with local dealers, and highlight intelligent driving experience "optimized exclusively for the UK".

Table 10: The Strategy of European Market

As shown in the table, the implementation actions of the three major stages are deeply integrated and progressively advanced in conjunction with the four strategic paths derived from the SWOT analysis:

● During the **2026 Exploration and Foundation Building Period**, the focus is on the **WT and ST strategies**, completing the layout of core German and French markets and establishing the compliance system. Simultaneously, through the **WO and SO strategies**, an initial brand breakthrough is achieved and cooperation with

Volkswagen is realized.

- During the **2027-2028 Scale Accumulation Period**, the focus is on the **SO and WO strategies**, deepening localized management and channel partnerships. Sales volume is increased through financial solutions and the development of right-hand drive models. Concurrently, the **ST strategy** is used to continuously improve supply chain ESG and rules of origin adaptation.

- During the **2029-2030 Ecosystem Integration Period**, the four major strategies are integrated and implemented. An ecological closed loop is formed through the establishment of a European Autonomous Driving Algorithm Center and a localized management system. Experience gained in Germany and France is then replicated in the UK market.^[10]

Actions in each stage adhere to the principles of "**compliance as the baseline, intelligence as the core, and localization as the driver,**" propelling Xpeng's complete transition in the European market from brand testing to deep ecological cultivation.

4.2 Asia-Pacific Market

4.2.1 Strategic Positioning

Following the strategic positioning for the European market, this report continues to employ the comprehensive SWOT analysis method to conduct a targeted assessment of the Asia-Pacific market. Focusing on the regional characteristics of the right-hand drive vehicle market, the electric vehicle policy environment, and the competitive landscape dominated by Japanese automakers, it deconstructs Xpeng's core capabilities and development challenges in this region. The relevant analysis results are as follows:

Internal External	Strength	Weakness
	1. Localized manufacturing capabilities and rapid right-hand drive adaptation 2. Differentiated competitive edge in intelligent technologies	1. Insufficient channel density in core markets 2. Significant pressure in ramping up Indonesia's localization rate 3. Regional disconnect in brand recognition
Opportunity 1. Policy dividend window across Asia-Pacific countries 2. Market replacement space brought by the electrification lag of Japanese automakers 3. Strategic integration opportunities in the right-hand drive vehicle market	SO – Growth Strategy 1. Prioritize the launch of right-hand drive versions of G6 and X9 in Thailand, leverage the Thailand EV 3.5 policy, and take the generational advantage in intelligent driving as the selling point to build a perception of technological luxury. 2. Upgrade the Malaysian production base into a right-hand drive export hub, and use tax incentives to radiate to surrounding right-hand drive markets. 3. Establish XNGP experience centers in core business districts of Jakarta and Kuala Lumpur, converting intelligent technology advantages into purchasing motivation.	WO – Turnaround Strategy 1. Form a special team and cooperate with core suppliers to increase the localization rate from less than 25% to 40% within 18 months. 2. Establish joint ventures with local top-tier dealers to quickly lay out service outlets through existing channels. 3. Conduct small-batch exports based on Malaysian production capacity, and enhance brand recognition at a low cost through micro footholds.
Threat 1. Intensifying market competition 2. Policy risks 3. Operational environment risks	ST – Defensive Strategy 1. Participate in government tenders as a local factory in Indonesia and Malaysia to avoid bias against Chinese brands. 2. Bind users through charging benefits and software subscriptions to resist competitors' price wars. 3. Establish cross-cultural compliance systems in Indonesian and Malaysian factories to prevent shutdown risks. 4. Build a dual supply chain of "China core + ASEAN supporting" to address geopolitical risks.	WT – Retrenchment Strategy 1. Do not set up direct operations or local teams, only import a small number of models for brand display. 2. Refuse soft entry if the three elements of localization, charging network, and partners are not met. 3. Audit channels, close inefficient outlets in marginal markets, and concentrate resources on core markets of Thailand, Malaysia, and Indonesia.

Figure 7: Asia-Pacific Market——Growth Engine & Localization Testbed

As shown in the table, the SWOT analysis of the Asia-Pacific market closely focuses on the core right-hand drive vehicle segment and the characteristics of the ASEAN regional supply chain. Based on this, the report aligns four differentiated strategic paths and establishes the five-year strategic roadmap for the Asia-Pacific market: **focus on the core markets of Thailand, Malaysia, and Indonesia; achieve breakthroughs through differentiation in right-hand drive products and intelligent technology; build a foundation through localized supply chains and compliance systems; and drive growth through gradual channel deep development and brand integration.**

4.2.2 Implementation

This report continues to apply the progressive expansion logic of the Uppsala Internationalization Model used for the European market implementation. Considering the characteristics of the Asia-Pacific market—"predominantly right-hand drive vehicles, interconnected ASEAN supply chains, and high concentration in core markets"—it establishes a development rhythm of **"deep cultivation in core markets first, expansion into peripheral regions later; product launch first, ecosystem integration later."** The five-year strategy is broken down into three progressive stages:

Exploration & Foundation Building, Scale Accumulation, and Ecosystem Integration.

The specific phased implementation arrangements are as follows:

Phase	Year	Strategy Type	Initiative	Implementation Details
Exploration Phase	2026	SO	Initiate Malaysia Factory Production	Launch G6 production in March, X9 production in May; Establish joint operations team with EPMB; Introduce first batch of 5-8 local Malaysian suppliers
		WO	Establish Overseas Localized Supply Chain Team	Set up a dedicated supply chain team in ASEAN responsible for local supplier development, certification, and quality management; reach preliminary agreements with 3-5 core Chinese suppliers to set up factories in Indonesia; ensure localization rate reaches 25%+ by the end of 2026.
		SO	Establish XNGP Experience Centers	Select locations in Jakarta and Kuala Lumpur central business districts, minimum 200m ² per store; Equip with professional explanation teams and intelligent driving simulators; Host monthly tech salons inviting KOLs and potential users
		ST	Establish Cross-cultural Compliance System	Hire local legal and HR consultants to develop Indonesia and Malaysia employee handbooks; Conduct cross-cultural management training for mid-to-senior management; Establish employee feedback channels; Conduct quarterly cultural integration assessments
	2027	WO	Increase Indonesia Localization Rate to 30%+	Complete the landing of the first 5-8 core suppliers in Indonesia, covering key components such as battery packs, wiring harnesses, and interiors; establish a localization rate calculation mechanism; report progress to the Indonesian Investment Ministry monthly; initiate negotiations for the second batch of suppliers.
		ST	Establish "China Core + ASEAN Supporting" Dual Supply Chain	Complete backup of "China Core" for key components (batteries, electronic controls, intelligent systems); establish emergency switching mechanisms for ASEAN local suppliers; conduct supply chain stress tests quarterly.
		WO	Add 15-20 Experience Centers/Service Stations	Select locations in core business districts and automotive hubs in Bangkok, Kuala Lumpur, and Jakarta; equip each store with sales, delivery, and service teams; unify store image and customer experience standards.
		WO	Establish Local Employee Training System	Develop localized training courses covering product knowledge, service standards, and corporate culture; implement a "mentorship" model pairing Chinese mentors with local employees; conduct skill certification assessments quarterly.
Accumulation Phase	2028	WO	Achieve 40% Localization Rate in Indonesia	Complete the 18-month critical target and pass Indonesian Investment Ministry acceptance; establish a localization rate maintenance mechanism to ensure sustained compliance; position the Indonesian factory as a right-hand drive export hub.
		SO	Launch Third Right-Hand Drive Model	Determine new model configuration based on user research in Thailand and Malaysia; hold a new car launch event in Bangkok, inviting regional media and KOLs; launch the first batch simultaneously in the Thai, Malaysian, and Indonesian markets.
		SO	Cooperate with Ride-Hailing Platforms	Establish a special working group with Grab/Gojek to finalize vehicle customization requirements; deploy an initial batch of 500 vehicles for the ride-hailing market; integrate ride-hailing platform applications into the XPeng in-car system.
		SO	Establish Kuala Lumpur Regional Technology Center	Lease R&D office space; initially recruit 30-50 local engineers; establish a collaborative R&D mechanism with Guangzhou headquarters; create a right-hand drive market product manager position to be filled by local employees.
	2029	SO	Enable Malaysian Factory to Radiate to Surrounding Markets	Complete export certifications for Singapore and Thailand; establish a dedicated export business team; achieve right-hand drive model exports accounting for 20% of factory production capacity by 2029.
		SO	Promote XNGP as a Technology Benchmark	Jointly publish an XNGP technical whitepaper with local universities; host the Asia-Pacific Intelligent Driving Summit in Kuala Lumpur; invite regional media for in-depth XNGP testing and feature dissemination.
		WT	Formally Enter the Philippines with a Complete System	Complete the construction of the first 5 charging network stations; establish a joint venture with a top local dealer; open the first store in Manila's core business district, simultaneously starting pre-sales of the X9.
		SO	Launch Regional Brand Communication Campaign	Produce a regional brand film centered around "Intelligent Technology + Local Manufacturing"; place it on mainstream media and social platforms in Thailand, Malaysia, and Indonesia; collaborate with top local IPs to launch limited edition models.
Integration Phase	2030	SO	Establish Kuala Lumpur Asia-Pacific Regional Operations Center	Rent office space for over 200 people; appoint a Regional President for right-hand drive markets; set up regional shared service centers for finance, legal, and HR; achieve 70% local employees and over 40% local mid-to-senior management; build a bilingual working environment and promote cultural integration.
		ST	Achieve Normalized Operation of Dual Supply Chain	Establish an ASEAN supply chain emergency inventory mechanism; conduct supply chain switch drills quarterly; establish long-term strategic cooperation with ASEAN local suppliers.
		SO	Achieve Overseas Sales Share Target	Asia-Pacific market sales achieve XPeng's overall overseas target; optimize right-hand drive market sales structure, increasing the share of non-Thailand markets; establish overseas market sales forecasting and rolling planning mechanisms.
		SO	XNGP Becomes the Technology Benchmark in Right-Hand Drive Markets	Achieve XNGP penetration rate of 30%+ in Thailand, Malaysia, and Indonesia; jointly release an annual intelligent driving ranking list with regional mainstream media; initiate exploration of XNGP technology licensing business.

Table 11: The Strategy of Asia-Pacific Market

As shown in the table, the three implementation stages in the Asia-Pacific market center on the rollout of right-hand drive (RHD) vehicles and the establishment of the ASEAN localized supply chain, closely aligned with the four major strategic pathways:

● **2026 Exploration and Foundation Building Period:** Centered on **SO, WO, and ST strategies**, this phase focuses on commencing production in Malaysia, Thailand, and Indonesia, and establishing XNGP experience centers. It aims to increase the localization rate in Indonesia to over 30% and build a dual-supply chain system to secure the risk bottom line.

● **2027-2028 Scale Accumulation Period:** Focusing on **SO and WO strategies**, this phase targets achieving a 40% localization rate in Indonesia, launching the third RHD model, deepening cooperation with ride-hailing platforms, and establishing a regional technology center. This marks the upgrade from product launch to brand penetration.

● **2029-2030 Ecosystem Integration Period:** This phase achieves the synergistic implementation of all four strategies. It leverages the Malaysian plant as an RHD export hub to radiate surrounding markets, establishes XNGP as the technological benchmark in RHD markets, and simultaneously achieves a management closed-loop with 70% localized employees and 40% localized middle and senior management in the Asia-Pacific region.^[10]

Actions in each stage are closely tied to the regional characteristics of the Asia-Pacific market, driving Xpeng to form a triple competitive advantage in products, supply chain, and brand within the core RHD vehicle segment.

4.3 MENA Market

4.3.1 Strategic Positioning

Following the strategic formulation for the Asia-Pacific market, this report continues to apply the comprehensive SWOT analysis methodology. Targeting the MENA market's characteristics—"concentrated high-end demand in Gulf countries, high requirements for extreme environment adaptation, significant geopolitical and policy risks, and prominent blue ocean features in electrification"—it deconstructs Xpeng's core capabilities, shortcomings, and external market opportunities in this region. The relevant analysis results are as follows:

Internal External	Strength 1. Environmental Adaptability (800V SiC) 2. Technological Differentiation Advantage	Weakness 1. Weak brand premium capacity, high-end cognition unestablished 2. Insufficient first-mover advantage
	SO – Growth Strategy 1. Use 800V SiC platform as core to build MEA-exclusive product matrix, seizing blue ocean. 2. Use XNGPADAS to bind government/premium projects, amplifying official tech endorsement. 3. Establish local R&D center in Middle East for deep tech & scenario adaptation.	WO – Turnaround Strategy 1. Reshape layered brand positioning to match MEA high-end demands & fix luxury cognition gaps. 2. Sink omni-channel layout to cut user education & expansion costs caused by late entry. 3. Build user co-creation localized system to strengthen deep brand-consumer binding.
Threat 1. Uncertainty risks in regional policy, compliance & geopolitics 2. Strong ICE (Internal Combustion Engine) substitute risk	ST – Defensive Strategy 1. Pre-research tech for compliance; use full-stack R&D to hedge policy change risks. 2. Deploy super-fast charging + PV-storage-charging network against strong ICE substitute threat. 3. Adopt BEV + EREV dual-track layout to break charging infrastructure bottlenecks.	WT – Retrenchment Strategy 1. Adopt asset-light localized JV model to avoid geopolitical, tariff & forex fluctuation risks. 2. Focus on precise customer targeting to avoid full-market price wars & brand dilution. 3. Establish 3-tier supply chain guarantee system to reduce supply & compliance risks.

Figure 8: MENA Market——Blue Ocean Ore & Localization Testing Field

As shown in the table, the SWOT analysis for the MENA market focuses on two core dimensions: adaptation to extreme environments and building a premium brand. Based on the matching of internal and external factors, this report derives four differentiated strategic paths and establishes the five-year strategic roadmap for the MENA market: **focus on key markets in the GCC and Egypt, achieve breakthroughs through differentiation with the 800V platform and intelligent technology, build a foundation through localized R&D and compliance systems, and drive growth through progressive asset-light approaches and ecosystem integration.** These four strategies coordinate to seize the blue ocean opportunity in the MENA market.

The four strategic paths align closely with the blue ocean characteristics and risk profile of the MENA market:

- The **SO Strategy** centers on the 800V platform to create a regional exclusive product matrix, leveraging XNGP to engage with high-profile government projects and secure official technological endorsement.

- The **WO Strategy** addresses the shortcomings in premium brand perception by reshaping the brand image through tiered brand positioning and the operation of

exclusive high-end user clubs.

- The **ST Strategy** tackles policy and market risks by establishing a dual-track layout of BEV+EREV models and building a network of ultra-fast charging + solar-storage-charging solutions to overcome charging infrastructure bottlenecks.

- The **WT Strategy** adopts asset-light joint venture models to mitigate geopolitical, tariff, and exchange rate risks, aiming for precise customer targeting rather than competing across the entire mass market.

This strategic system balances the growth opportunities of the blue ocean market with inherent regional risks, delineating clear action boundaries for implementation.

4.3.2 Implementation

This report continues to apply the progressive expansion logic of the Uppsala Internationalization Model. Considering the characteristics of the MENA market—**"Gulf countries as the core, North Africa for expansion, extreme environment adaptation as the foundation, and asset-light operation as the principle"**—it establishes a development rhythm of **"deep cultivation in the core Gulf markets first, expansion into North Africa later; product adaptation first, ecosystem closed-loop later."** The five-year strategy is broken down into three progressive stages: Exploration & Foundation Building, Scale Accumulation, and Ecosystem Integration. The specific phased implementation arrangements are as follows:

Phase	Year	Strategy Type	Initiative	Implementation Details
Exploration Phase	2026	SO	Launch Middle East-specific version adapted to extreme environments	Launch G9/X9 Middle East versions based on 800V platform, optimize for 50°C high temperature, dustproofing and air conditioning; add religious and cultural configurations Focus on two price ranges: 150,000–250,000 and above 300,000, fill gaps in pure electric MPV and midsize-large SUV segments
		ST	V2G adaptation and SASO certification, prepare Egypt KD factory	Complete V2G two-way charging adaptation for all models to meet UAE mandatory regulations in 2026 Complete special tests for SASO high-temperature performance, battery durability and dust-proof sealing; obtain type approval within 2026
		ST	Local parts supply in Egypt	Sign KD factory agreement with local Egyptian partners, plan initial annual capacity of 50,000 units; reduce component tariffs from 135% to 2%–12% Introduce local suppliers to realize localized supply of seats, wiring harnesses, interior and exterior trims
	2027	WO	High-end brand positioning and community operation	Cooperate with top local luxury customizers in Middle East to launch royal exclusive editions of G9/X9 (golden interior, exclusive paint) Establish XPeng Middle East high-end user club, partner with F1 Middle East races and royal equestrian events
		SO	Deepen government procurement, full ADAS coverage in GCC	Enter official vehicle catalogs of six GCC countries, launch police custom versions Fully deploy NOA in core cities including Riyadh, Doha and Mecca, achieve full ADAS coverage in GCC
		WO	Omnichannel network expansion, build Dubai flagship experience center	Build Middle East flagship experience center on Sheikh Zayed Road, Dubai Deepen cooperation with local top dealer groups, operate over 30 sales outlets in GCC
		ST	Dual-track layout: BEV + EREV	Leverage top expos including China-Arab Expo, promote with royal KOLs, reduce user education cost by 30% Launch EREV versions for mass market, retain 800V and XNGP to alleviate range anxiety
		WT	Establish two regional spare parts centers: Dubai & Cairo	Expand Dubai MENA parts warehouse, add Cairo spare parts center Achieve same-day response for over 95% parts in core cities, 48-hour delivery in remote areas
Accumulation Phase	2028	SO	Large-scale delivery of MONA M03	M03 targets 150,000-level mass market, X9/G9 consolidate high-end market Develop technologies for high temperature, dustproofing and SASO certification
		SO	Build Abu Dhabi local R&D center, focus on SASO compliance technologies	Build rapid verification capability against SASO regulations, optimize XNGP algorithm, shorten regional adaptation cycle by 40% Co-build green supply chain access standards with local suppliers, require core suppliers to obtain ISO14001 certification
		WO	Build user co-creation system, launch 7-year vehicle warranty	Establish exclusive feedback channel for Middle East users, invite local users to participate in model iteration tests Quickly optimize product configurations for large space, strong off-road capability and high-temperature comfort
		ST	Build 800V ultra-fast charging + PV-energy storage-charging network	Launch 7-year vehicle warranty service in Middle East to eliminate quality concerns Build 5-km charging coverage in core GCC cities Use solar green power to reduce carbon emissions, energy storage systems support grid stability and create environmental value
Integration Phase	2029	WT	Implement asset-light joint venture model, local currency settlement to reduce exchange rate risks	Establish joint ventures with leading local enterprises in Egypt and Saudi Arabia, operate via technology licensing + local operation Adopt RMB and local currency settlement, leverage China-Arab local currency system to reduce USD exchange rate risks
		ST	Egypt KD factory officially put into operation, rooftop solar covers 30% electricity	Egypt KD factory officially operational, adopts LEED Gold green building standards Factory rooftop solar meets over 30% of production power; use Egypt as hub to cover North Africa, enjoy 2%–12% preferential tariffs Localization rate increases dynamically based on supply chain maturity, no rigid target commitment
		SO	Expand government procurement, become benchmark for official vehicles	Continuously increase XPeng's share in official vehicle procurement across six GCC countries Expand official orders from Dubai Police, Qatar Ministry of Interior, etc.; police custom models become regional benchmarks
	2030	ST	Full ultra-fast charging network coverage, large-scale PV-energy storage-charging integration	Use official endorsement to drive high-end private consumption market Build ultra-fast charging network covering main highways in core GCC cities and major expressways PV-energy storage-charging integrated stations connect solar power, energy storage systems participate in grid peak regulation
		WO	Over 50 outlets in GCC, over 30 in North Africa	Achieve 5-km charging coverage in core cities, solve charging infrastructure bottlenecks Over 50 sales outlets in six GCC countries, full coverage of second-tier cities Over 30 outlets in core North African markets (Egypt, Morocco, Algeria, etc.), full regional localized service network coverage
		WT	Mature asset-light model, stable operation of local currency settlement system	RMB-local currency settlement system covers most transactions, exchange rate risks effectively Phased production model ensures healthy capacity utilization Stable operation of joint ventures in Egypt, Saudi Arabia, etc.; technology licensing revenue becomes key profit source

Table 12: The Strategy of MENA Market

As shown in the table, the three implementation stages in the MENA market center on product adaptation for extreme environments and asset-light operations, deeply integrated with the four major strategic pathways:

- **2026 Exploration and Foundation Building Period:** Centered on **SO, ST, and WO strategies**, this phase focuses on launching 800V platform models adapted for high temperatures up to 50°C, completing SASO certification, and establishing the Egypt KD factory layout. It aims to build a premium brand image through high-end customized versions and cooperation with royal events.

- **2027-2028 Scale Accumulation Period:** Focusing on **SO, WO, and ST strategies**, this phase introduces EREV models to address charging shortcomings, establishes dual parts centers in Dubai and Cairo, and sets up a local R&D center in Abu Dhabi to enable rapid iteration of SASO compliance technology. Simultaneously, brand affinity is strengthened through user co-creation programs.

- **2029-2030 Ecosystem Integration Period:** This phase achieves the integrated implementation of all four strategies. It promotes the full operation of the Egypt KD factory to radiate the North African market, builds a solar-storage-charging and ultra-fast charging network covering core Gulf cities, and achieves profitability through an asset-light model of technology licensing combined with local operations. Furthermore, it aims to establish officially procured models as regional benchmarks, driving growth in the high-end private consumer market.^[10]

Actions in each stage balance the blue ocean growth potential of the MENA market with geopolitical and policy risks, achieving risk-controllable market expansion through technological differentiation and asset-light operations.

5. Forecast – Financial Simulation and Operational Resilience Verification

5.1 Dynamic Forecast – Monte Carlo Simulation

This report employs a Monte Carlo simulation model, conducting 10,000 randomized iterative stress tests to perform a dynamic financial forecast of Xpeng's overseas expansion strategy over the next five years, thereby verifying the operational resilience and financial bottom line of the strategy.

The core calculation formula for this model is as follows: **Operating Profit =**

(Sales Volume × Blended ASP × Blended Gross Margin) – Fixed Costs (primarily overseas R&D and compliance expenses).

The core strategic assumptions are as follows:

- In the **first phase**, the company aims to hit annual sales targets. While expanding into overseas markets, it leverages the 30%-60% premium on high-end products in European and Middle Eastern markets to successfully anchor the blended Average Selling Price (ASP) around RMB 170,000, with some fluctuation, avoiding entanglement in low-end price wars.

- The overseas gross margin in the first phase is correspondingly projected to remain in the 20.8%-23.3% range. As the **second phase** progresses, with the completion of a European vehicle plant with an annual capacity of 100,000 units and the establishment of a data center, the increasing localization rate is expected to effectively cut through tariff barriers and transoceanic logistics inefficiencies, driving the gross margin to approach 26% by 2030.

- Furthermore, to support the compliance adaptation and localized operation of the XNGP intelligent driving system in core EU countries, overseas R&D expenditure is assumed to continue increasing with high volatility in the latter three years.^[11]

Based on the above formula and assumptions, the Monte Carlo simulation yields the following dynamic trajectory chart of Xpeng's overseas operating profit over the next five years:

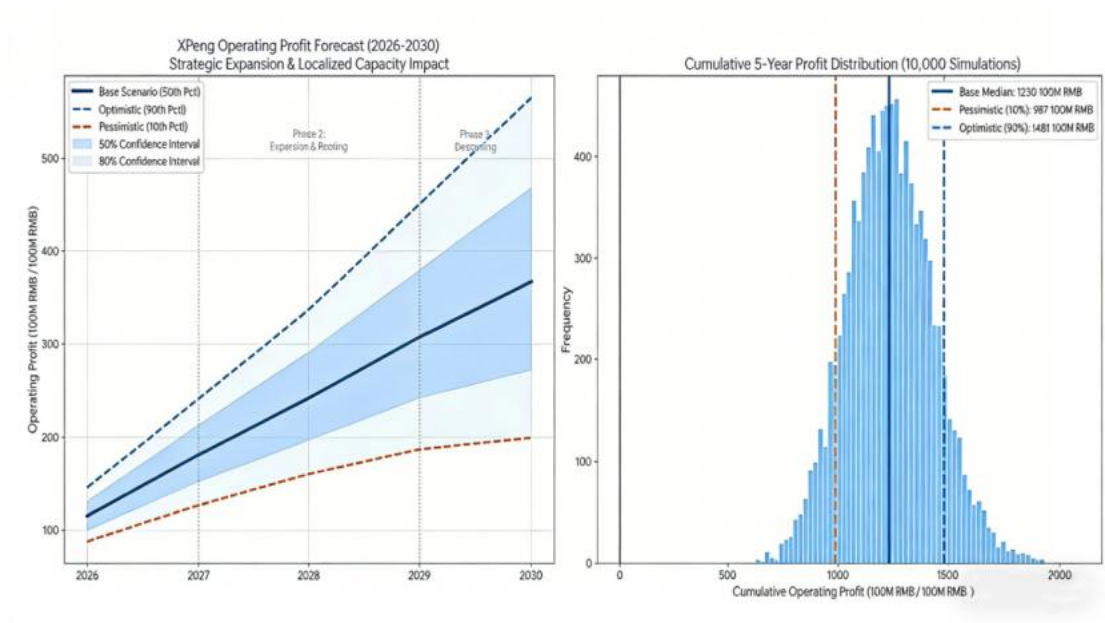


Table 13:Dynamic Forecast of Overseas Operating Profit of XPeng from 2026 to 2030 and Distribution Pattern of Five-Year Cumulative Profit

5.2 Scenario Analysis – Three Scenario Simulations

In the current era of rapid geopolitical change, a single linear financial forecast can no longer truly reflect the systemic risks faced by an enterprise. To address this, this report designs three core scenarios for the future—**Base, Optimistic, and Pessimistic**—and matches each with an appropriate overseas expansion strategy. By deriving the annual operating profit under each scenario, this analysis intuitively presents Xpeng's profitability flexibility and defensive bottom line within its globalization layout, demonstrating the company's operational resilience.

Scenario	Strategy	2026	2027	2028	2029	2030	5-Year Cumulative Profit
Optimistic	Premium & Scale Dual-Drive SO Strategy Sales of high-end ADAS models in Europe and the Middle East exceed expectations. Excess profits successfully offset the price competition in mainstream mass markets, achieving a dual-track growth of "high volume + stable ASP".	136	231	306	398	512	1583
Base	Strategic Execution on Track WO Strategy Successfully advances Phase 2 "Capacity Localization & Barrier Hedging". Overseas production and supply chain gradually form a closed loop. Economies of scale effectively dilute the high R&D expenses.	115	182	231	281	340	1149
Pessimistic	Profit Structure Under Pressure WT/ST Strategy High-premium markets face extreme tariff blocking. Decisively trigger defensive strategies: retract focus to five core markets and strictly control non-core expenditures to ensure survival and capital efficiency.	94	136	160	176	188	754

Table 14:XPeng's 5-Year Overseas Operating Profit Forecast and Strategic Hedging Matrix
(Unit: RMB 100 Million)

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